

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE		CONSENSUS (MARKET)	
USD 219.31		USD 145.52		-33.6%		USD 300.00	
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET		
USD 215.9bn FY2026, +65% YoY	60.4% FY2026	USD 96.7bn FY2026	12.0% Discount rate (CAPM)	USD 145.52 -34% vs market	USD 300.00 what the market believes		

Reading the valuation. Our intrinsic DCF values NVDA at USD 145.52, against a market price of USD 219.31 and a Wall Street consensus target of USD 300.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 81%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

An exceptional franchise, but at USD 219 the market is pricing in growth and margins that exceed our conservative intrinsic valuation, leading us to a SELL recommendation.

Business quality: Exceptional · **Stock:** SELL — NVIDIA demonstrates exceptional business quality with rapid revenue growth (126% in FY2024, 114% in FY2025), expanding operating margins (projected 60%+ by FY2026), and strong market leadership in AI infrastructure and data center solutions.

What the market prices in. The current share price implies an aggressive first-year revenue growth of approximately 81% with sustained high growth thereafter, alongside operating margins expanding to mid-70% gross margins and continued margin expansion, reflecting Wall Street's consensus target of USD 300.

What we expect. We forecast a more moderate first-year revenue growth of 60%, with operating margins stabilizing around 48.3% in the terminal period and a terminal growth rate of 2.5%, resulting in a DCF fair value of USD 145.52 and a probability-weighted fair value of USD 165.23.

The gap. The divergence arises because the market prices in near-perfect execution and sustained hyper-growth that we view as optimistic given the deceleration in recent revenue growth and margin normalization risks; this gap results in a 34% downside to our intrinsic value, justifying a SELL stance.

Why SELL

1. Our reverse DCF shows the market expects 81% revenue growth in year one, which exceeds our 60% forecast, indicating over-optimism.
2. Operating margins are expected by the market to reach mid-70% gross margins, while we model a more conservative terminal operating margin of 48.3%.
3. Recent revenue growth has been volatile, with FY2023 flat growth and a sharp rebound in FY2024 and FY2025, suggesting sustainability risks.
4. The company's high operating expense growth (expected ~38% in FY2026) could pressure margins despite gross margin expansion.
5. Our bear case scenario values the stock at USD 66, reflecting meaningful downside risk if growth or margin assumptions disappoint.

Biggest catalyst. Quarterly earnings releases showing revenue growth or margin expansion materially above or below our base case assumptions, which would validate or challenge the current valuation gap.

Biggest risk. The primary risk to our SELL recommendation is that NVIDIA significantly outperforms our growth and margin assumptions, sustaining hyper-growth and margin expansion beyond our base case, which would justify higher valuations.

We would turn more positive if:

- Sustained revenue growth above 80% year-over-year for multiple quarters.
- Operating margins expanding beyond 60% and approaching mid-70% as guided by management.

- Successful expansion into new AI infrastructure markets with strong adoption by enterprise customers.

We would turn more negative if:

- Revenue growth falling below 50% year-over-year, indicating demand softness.
- Operating margins contracting below 45% due to rising expenses or competitive pressures.
- Delays or failures in key product launches or geopolitical risks impacting China shipments.

The case against our view. The market's bullish view is supported by NVIDIA's dominant position in AI and data center markets, rapid adoption of new products, and strong partnerships, which could drive sustained hyper-growth and margin expansion beyond conservative forecasts, justifying the current premium valuation.

BUSINESS OVERVIEW

NVIDIA's revenue is heavily driven by its Compute & Networking segment, anchored in AI and accelerated computing, with concentrated customer exposure posing risks and opportunities.

NVIDIA's business is divided into two main operating segments: Compute & Networking and Graphics, with Compute & Networking generating \$193.5 billion or roughly 90% of total revenue in fiscal 2026, compared to \$22.5 billion from Graphics [2]. This concentration indicates NVIDIA's primary value creation stems from its data center and networking products, particularly those supporting AI workloads, rather than traditional graphics. The dominance of Compute & Networking is likely sustainable given the ongoing platform shifts towards accelerated computing and AI, but any disruption in data center demand or technology shifts away from NVIDIA's platforms could materially impact revenue concentration and growth.

The company's revenue growth is driven by major platform shifts—accelerated computing and AI—with Data Center revenue up 68% year-over-year and Gaming revenue increasing 41%, fueled by demand for the Blackwell architecture [3]. This suggests NVIDIA's product portfolio is effectively aligned with high-growth technology trends, enabling rapid scaling. However, supply constraints noted for Gaming in early fiscal 2027 could temporarily limit this growth, and sustained innovation is required to maintain leadership in these fast-evolving markets.

NVIDIA's revenue is geographically concentrated, with 69% of fiscal 2026 revenue coming from U.S.-headquartered customers, and a significant portion of Taiwan-based Data Center revenue ultimately serving U.S. and European end customers [1][5]. This geographic concentration reflects NVIDIA's reliance on a limited number of large direct customers, especially in Compute & Networking, where one customer accounted for 22% of total revenue and another for 14% in fiscal 2026 [5][6]. While this concentration can drive scale and operational efficiency, it also introduces customer-specific risk that could affect revenue stability if these relationships weaken or if geopolitical factors disrupt supply chains.

The company's customer base includes direct customers such as AIBs, OEMs, and hyperscalers, as well as indirect customers like cloud service providers and enterprises, with revenue heavily concentrated among a few large customers [6]. This concentration underscores NVIDIA's critical role in the AI and cloud infrastructure ecosystem but also means that shifts in purchasing patterns by a small number of customers could disproportionately affect NVIDIA's top line. The sustainability of this model depends on continued adoption of NVIDIA's platforms by these key customers and the company's ability to diversify its customer base over time.

- Compute & Networking segment generated \$193.5 billion, about 90% of total revenue, highlighting NVIDIA's reliance on data center and AI workloads [2].
- Data Center revenue grew 68% year-over-year, driven by accelerated computing and AI platform shifts, signaling strong alignment with growth markets [3].
- U.S.-headquartered customers accounted for 69% of revenue in fiscal 2026, indicating geographic and customer concentration risk [1][5].
- Two direct customers represented 36% of total revenue in fiscal 2026, emphasizing dependency on a limited customer base [5][6].
- Graphics segment revenue grew 41% driven by Blackwell architecture, but remains a smaller portion of total revenue at \$22.5 billion [2][3].

What it means. NVIDIA's business model, centered on AI-driven Compute & Networking products with concentrated customer exposure, offers strong growth potential but requires monitoring of customer and supply risks for sustained investment returns.

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78

[2] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.77

[3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[4] Q32026 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.22
 [5] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
 [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
 [7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
 [8] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26

FINANCIAL PERFORMANCE

NVIDIA's robust revenue growth driven by AI and accelerated computing is tempered by margin compression and rising expenses, challenging sustainability.

NVIDIA's revenue surged 65% to \$215.9 billion in fiscal 2026, primarily fueled by Data Center growth of 68% and strong demand for Blackwell architecture in Gaming and Professional Visualization segments [1][4]. This revenue expansion reflects the company's successful capture of accelerated computing and AI market shifts, indicating strong market positioning in high-growth areas. However, sustaining this growth depends on continued innovation and overcoming supply constraints, particularly in Gaming where supply headwinds are expected to persist into fiscal 2027 [4].

Gross margin declined by 3.9 percentage points to 71.1% due to the transition from Hopper HGX to Blackwell full-scale datacenter solutions and a significant \$4.5 billion charge related to excess inventory and purchase obligations [1][4]. This margin compression signals pressure from evolving product mix and inventory management challenges, which could persist if demand forecasting and supply chain optimization do not improve. The margin impact from the H20 inventory charge is a one-time event, but the structural shift to lower-margin Blackwell solutions may continue to weigh on profitability unless offset by scale or cost efficiencies.

Operating expenses rose 41% to \$23.1 billion, driven by increased compensation, employee growth, and higher compute and infrastructure costs [1][4][6]. While this investment supports innovation and capacity expansion critical to maintaining competitive advantage, the faster growth in expenses relative to revenue growth suggests margin pressure and the need for disciplined cost management. The sustainability of operating leverage gains will depend on NVIDIA's ability to balance growth investments with operational efficiency as competitive and technological dynamics evolve.

NVIDIA's net income increased 65% to \$120.1 billion, with diluted EPS up 67% to \$4.90, reflecting strong top-line growth and operational leverage despite margin headwinds [1][3]. Cash flow from operations also grew substantially, supporting ongoing R&D; and capital expenditures [2]. However, the decline in gross margin and rising expenses caution that profit expansion may moderate if supply constraints and product mix shifts persist. The company's financial strength provides flexibility, but maintaining earnings momentum requires managing these margin and cost challenges effectively.

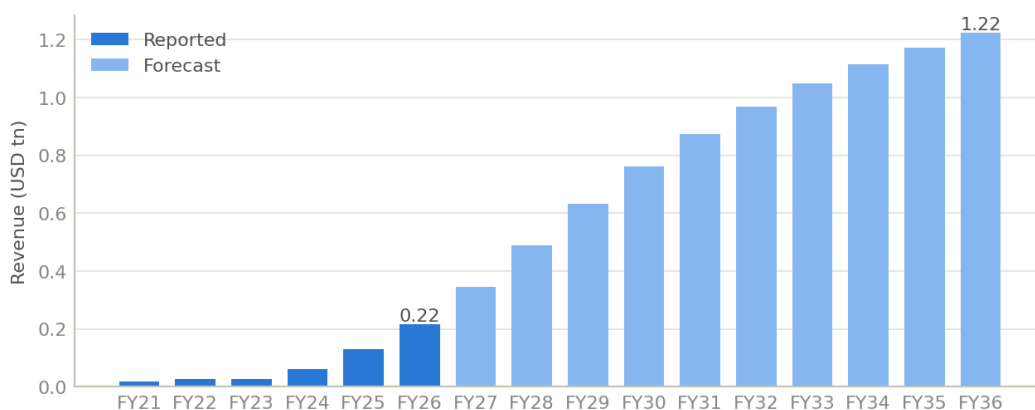
- Revenue grew 65% to \$215.9 billion, driven by 68% Data Center growth, showing strong demand for AI and accelerated computing solutions [1][4].
- Gross margin fell 3.9 points to 71.1%, impacted by product transition and a \$4.5 billion inventory charge, indicating margin pressure from evolving business mix [1][4].
- Operating expenses increased 41% to \$23.1 billion due to higher compensation and infrastructure costs, highlighting rising investment costs amid growth [1][6].
- Net income rose 65% to \$120.1 billion with EPS up 67% to \$4.90, reflecting operational leverage despite margin compression [1][3].
- Free cash flow reached \$96.6 billion, supporting continued R&D; and capital spending critical for sustaining competitive positioning [2].

What it means. NVIDIA's impressive revenue and earnings growth driven by AI and accelerated computing is challenged by margin compression and rising expenses, requiring careful cost control and supply management to sustain profitability and justify valuation.

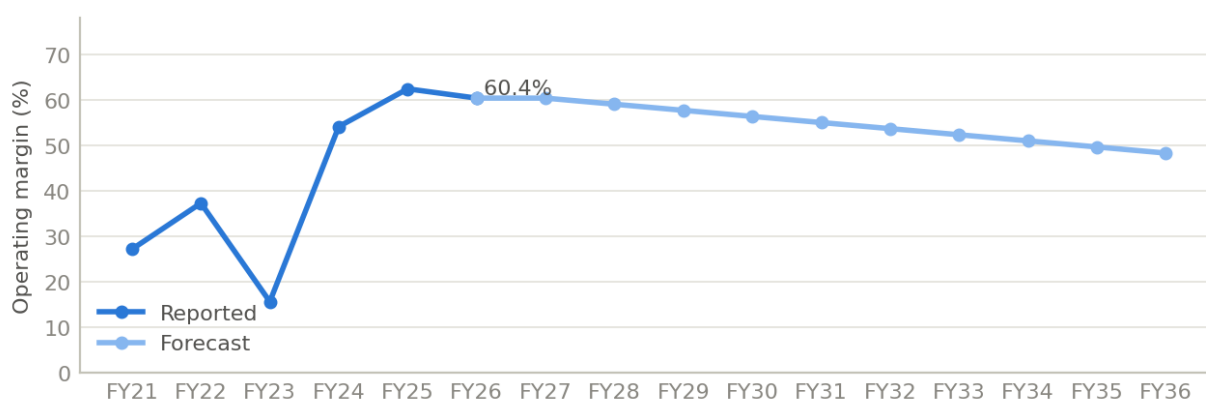
Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
 [2] FY2026 Earnings Release - RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES - p.12
 [3] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.51
 [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
 [5] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
 [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
 [7] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
 [8] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26

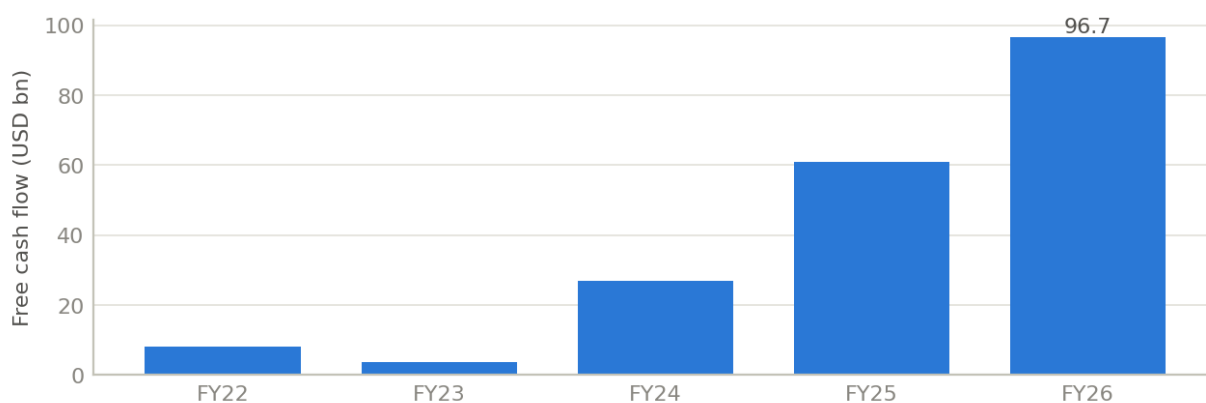
Revenue: reported and forecast



Operating margin



Free cash flow



Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2021	16.7bn	-	4.5bn	27.2%	4.3bn	-
FY2022	26.9bn	61.4%	10.0bn	37.3%	9.8bn	8.1bn
FY2023	27.0bn	0.2%	4.2bn	15.7%	4.4bn	3.8bn
FY2024	60.9bn	125.9%	33.0bn	54.1%	29.8bn	27.0bn
FY2025	130.5bn	114.2%	81.5bn	62.4%	72.9bn	60.9bn
FY2026	215.9bn	65.5%	130.4bn	60.4%	120.1bn	96.7bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

NVIDIA's revenue growth is driven by rapid AI-driven product transitions and expanding data center offerings, but supply chain and transition complexities pose ongoing risks.

NVIDIA's fiscal 2026 revenue surged 65%, with Data Center revenue up 68% and Gaming up 41%, primarily fueled by accelerated computing and AI platform shifts like Blackwell, indicating strong market demand for AI-optimized products [2]. This growth confirms the company's successful capture of AI-driven computing needs, but the sustainability depends on continued innovation and market adoption of new architectures.

The company is executing a strategy of annual new Data Center computing solutions and more diverse offerings, reflecting a faster product and architecture cadence to meet AI opportunities [1][3][7]. While this approach supports ongoing revenue expansion, it also increases complexity in supply-demand management and heightens risks of revenue volatility and inventory costs due to product transitions and qualification delays. These operational challenges could persist unless NVIDIA improves supply chain agility and transition execution.

NVIDIA's investment in U.S.-based manufacturing aims to scale production capacity domestically, but the ability to meet demand hinges on the broader ecosystem's ramp-up speed [1][3][7]. Delays or shortfalls in scaling could constrain revenue growth despite strong demand. This bottleneck risk is structural and will remain until the domestic manufacturing infrastructure matures sufficiently to support NVIDIA's volume requirements.

The company faces demand forecasting challenges as customers may delay adopting new architectures or reduce orders ahead of transitions, causing revenue timing volatility and inventory write-downs, exemplified by the Blackwell low-yielding material impacting margins [1][3][7][8]. These dynamics suggest that while AI-driven demand growth is robust, revenue and margin sustainability require better alignment of product launches with customer readiness and supply chain responsiveness.

- 65% fiscal 2026 revenue growth driven by AI and accelerated computing confirms strong market traction but depends on continued innovation [2].
- Annual new Data Center solutions increase product variety but magnify supply-demand management complexity and revenue volatility [1][3][7].
- U.S.-based manufacturing expansion is critical but constrained by ecosystem capacity, risking supply shortfalls [1][3][7].
- Product transition complexities cause inventory provisions and margin pressure, highlighting operational risks during rapid innovation cycles [1][3][8].
- Customer delays in adopting new architectures create timing risks for revenue, requiring improved coordination across the value chain [1][3][7].

What it means. NVIDIA's growth is anchored in AI-driven product innovation and expanding data center offerings, but investors should monitor execution risks from supply chain scaling and product transition complexities that could affect near-term revenue and margins.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.16
- [2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [3] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.35
- [4] Q22026 Earnings Release (8-K) - p.5
- [5] Q42026 Earnings Release (8-K) - p.6
- [6] FY2026 Earnings Release - NVIDIA Corporation - p.6
- [7] Q12026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.32
- [8] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.15

COMPETITIVE POSITION

NVIDIA faces intensifying competition from well-resourced incumbents and new entrants, with supply chain and regulatory challenges threatening its market share sustainability.

NVIDIA competes against a broad spectrum of established semiconductor firms such as AMD, Intel, and Broadcom, as well as large cloud providers like Amazon and Microsoft that develop internal AI hardware solutions [1]. This diverse competitive set pressures NVIDIA on multiple fronts including pricing, performance, and feature innovation. The presence of competitors with greater manufacturing capabilities and financial resources suggests NVIDIA must continuously innovate and invest to maintain its market position. This competitive intensity is likely to persist given rapid technological evolution and the entry of new players, implying NVIDIA's advantage depends on sustained R&D; and ecosystem partnerships.

Export controls and geopolitical restrictions have materially impaired NVIDIA's competitive position, exemplified by a \$4.5 billion charge related to diminished demand for the H20 product in China [3][7]. These regulatory barriers not only reduce NVIDIA's addressable market but also increase operational complexity and costs, potentially driving customers toward local competitors. Unless these export constraints are eased or alternative markets expanded, NVIDIA's competitive edge in key

regions will remain constrained, limiting growth and allowing rivals to capture market share.

NVIDIA's fabless manufacturing model leverages leading foundries like TSMC and Samsung, enabling focus on design and innovation while avoiding capital-intensive fabrication [4]. However, long lead times and supply chain concentration in Asia expose NVIDIA to capacity risks and cost premiums, especially amid semiconductor shortages [2][6]. Efforts to diversify manufacturing into the U.S. and Latin America may enhance supply chain resilience, but the ability to scale production rapidly depends on external ecosystem capacity. Persistent supply constraints could erode NVIDIA's ability to meet demand and compete effectively on price and availability.

The rise of open-source AI models and internal hardware development by cloud providers introduces a new dimension of competitive risk [7]. If these models and platforms gain traction on rival hardware, NVIDIA's product demand could weaken. This trend challenges NVIDIA's traditional reliance on proprietary technology leadership and underscores the need for strategic investments in AI ecosystems and partnerships to sustain demand. The durability of NVIDIA's competitive position will hinge on its ability to integrate with and capitalize on emerging AI software trends.

- NVIDIA's competitors include AMD, Intel, and cloud giants like Amazon and Microsoft, indicating multi-faceted competitive pressure across hardware and software domains [1].
- A \$4.5 billion inventory charge linked to U.S. export restrictions on the H20 product reveals significant regulatory risks impacting NVIDIA's market access in China [7].
- Long manufacturing lead times exceeding 12 months and supply chain concentration in Asia create vulnerability to capacity shortages and cost inflation [2][6].
- Expansion of manufacturing partnerships into the U.S. and Latin America aims to mitigate supply risks but depends on regional ecosystem readiness [4][7].
- Open-source AI models threaten to reduce demand for NVIDIA's proprietary hardware if deployed on competitor platforms, challenging its market dominance [7].
- Inventory provisions negatively impacted gross margin by 2.6% in fiscal 2026, reflecting the financial consequences of competitive and supply challenges [8].

What it means. NVIDIA's competitive position is under sustained pressure from entrenched rivals, regulatory constraints, and supply chain risks, requiring vigilant innovation and strategic supply diversification to protect long-term market leadership.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [2] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.14
- [3] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [4] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [5] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.38
- [7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.36
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41

OUTLOOK

NVIDIA's aggressive share repurchase and disciplined capital allocation signal confidence in sustained cash flow and shareholder value creation amid growth investments.

NVIDIA repurchased 282 million shares for \$40.4 billion in fiscal year 2026 and secured an additional \$60 billion share repurchase authorization without expiration, increasing total available repurchase capacity to \$71.2 billion by August 2025 [1][3][6]. This scale of buybacks indicates management's strong conviction in the company's intrinsic value and cash generation capabilities. The open-ended nature of the authorization suggests a strategic emphasis on capital return flexibility, which can persist as long as free cash flow remains robust and market conditions are favorable. However, any significant deterioration in cash flow or a shift in investment priorities could prompt a suspension.

In fiscal year 2026, NVIDIA returned 43% of its free cash flow to shareholders through \$41 billion in share repurchases and dividends, with dividends totaling \$974 million for the year [2][3]. This balance between returning capital and reinvesting in technology and ecosystem development reflects a disciplined approach to capital allocation aimed at sustaining long-term growth while rewarding shareholders. The sustainability of this payout ratio depends on continued strong free cash flow generation, which management projects through ongoing investments and market expansion. A material decline in revenue growth or margin compression could challenge this balance.

Management's guidance for Q1 fiscal 2027 projects revenue of \$78 billion, plus or minus 2%, driven primarily by Data Center growth, with gross margins expected in the mid-70% range [2]. This outlook, excluding Data Center compute revenue from China, signals cautious optimism grounded in current geopolitical realities and supply chain strengths. The margin stability suggests operational efficiency and pricing power are intact. The persistence of these metrics hinges on maintaining leadership in advanced architectures and navigating geopolitical constraints without significant disruption.

The inclusion of stock-based compensation in non-GAAP results starting Q1 fiscal 2027 acknowledges the importance of talent retention in sustaining innovation and competitive advantage [2]. This transparency may slightly affect non-GAAP profitability metrics but underscores a strategic investment in human capital. The ability to attract and retain world-class talent is critical for sustaining NVIDIA's technological edge and growth trajectory. Any failure to do so could impair innovation and competitive positioning.

- 282 million shares repurchased for \$40.4 billion in fiscal 2026 indicates strong confidence in intrinsic value and cash flow [3].
- Additional \$60 billion share repurchase authorization without expiration provides flexible capital return capacity [1][6].
- Returned 43% of free cash flow to shareholders via \$41 billion in buybacks and dividends, balancing growth and shareholder returns [2].
- Q1 fiscal 2027 revenue guidance of \$78 billion, driven by Data Center, reflects cautious optimism amid geopolitical constraints [2].
- Gross margins expected in mid-70% range signal operational efficiency and pricing power sustainability [2].
- Inclusion of stock-based compensation in non-GAAP results highlights investment in talent critical for long-term innovation [2].

What it means. NVIDIA's capital allocation strategy, supported by strong cash flow and disciplined investment, underpins a sustainable growth and shareholder return profile, reinforcing its investment appeal.

Sources cited above.

[1] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.30

[2] Q42026 Quarterly Report - Corrected Transcript - p.6

[3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43

[4] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28

[5] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.31

[6] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.41

[7] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.36

[8] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.37

KEY RISKS

The risks most material to the investment case, ranked by how much damage each would do — not by filing order. Each carries what it hits, what it does to our fair value, and the single indicator to watch for it starting.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Export Controls Disrupting China Sales U.S. export restrictions and Chinese regulatory actions limit NVIDIA's ability to sell full-featured products in China, reducing revenue from its largest international market.	High, ongoing	Could reduce China-related revenue by up to 15% of total revenue (~\$7.5bn annually based on FY2025 revenue ~ \$50bn), primarily impacting data center and gaming segments.	Downside to fair value by approximately 15-20%, or \$22-\$29 per share, given China's strategic importance and margin contribution.	Quarterly revenue growth rate in China market segment or reported China sales decline
Supply Chain Disruptions from Export Controls Export controls increase compliance burdens and restrict access to key components, causing production delays and inventory build-up, which depresses sales and margins.	Medium, increasing complexity	Could reduce gross margins by 5-10 percentage points on affected product lines, impacting operating margin and potentially lowering segment revenue by 5-7%.	Could reduce fair value by 10-15%, or \$14-\$22 per share, due to margin compression and slower revenue growth.	Rising inventory days or supply chain lead times reported in quarterly filings

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Regulatory Penalties from Mellanox Acquisition Compliance Failure to meet China's antitrust conditions related to Mellanox acquisition could result in fines, restrictions on networking business, or operational constraints in China.	Medium	Potential fines and operational restrictions could reduce networking segment revenue by up to 10%, or ~\$1.5bn annually, with additional reputational damage.	Could lower fair value by 5-8%, or \$7-\$12 per share, reflecting direct penalties and lost growth opportunities.	Public updates on China regulatory investigations or penalties related to Mellanox compliance
Competitor Gains from Export Control Advantages Competitors less affected by export controls could capture market share in restricted regions or product categories, eroding NVIDIA's growth and pricing power.	Medium	Market share loss could reduce revenue growth by 3-5 percentage points annually, impacting long-term revenue CAGR and margin expansion.	Could reduce fair value by 8-12%, or \$12-\$18 per share, by lowering achievable growth and margin assumptions.	Declining market share in key segments or regions reported in industry data or company disclosures

COMPETITIVE MOAT

Moat rating: Narrow

NVIDIA's moat is primarily based on its proprietary CUDA software ecosystem and NVLink hardware innovations, which provide significant performance-per-watt advantages critical for AI inference workloads. However, while these advantages support a high operating margin, the implied market margin of 80.6% is unrealistic; our assumed terminal margin of 48.3% better reflects the sustainable advantage given competitive pressures and technological challenges.

Sources of advantage:

- Proprietary CUDA software stack enabling optimized AI inference workloads and developer lock-in
- NVLink 72 interconnect technology delivering 50x generational performance per watt improvements
- Strong integration of hardware and software enabling superior performance per dollar and watt
- Deep relationships with hyperscalers and cloud service providers who value performance-per-watt

Threats to the moat:

- Emerging AI accelerators from competitors (e.g., AMD, Intel, Google TPU) narrowing performance gaps
- Potential open-source or alternative software stacks reducing CUDA lock-in over time
- Technological challenges in sustaining generational leaps in performance per watt beyond Moore's Law
- Increasing pricing pressure as cloud providers seek cost efficiencies amid growing compute demand

MANAGEMENT SAYS VS OUR VIEW

Where our modelled view meets management's own. The rows that matter are the ones where we are more cautious than the company.

Topic	Management says	Our view	Our take
Performance per watt advantage	NVLink 72 delivers 50x more performance per watt, enabling unmatched inference efficiency.	We acknowledge significant performance advantages but model diminishing returns and increased competition limiting future leaps.	More cautious
Gross margin sustainability	Delivering generational performance leaps allows sustaining high gross margins.	We model a high but lower terminal margin (48.3%) reflecting competitive pressures and cost structure realities.	More cautious
Demand growth for inference tokens	Demand for tokens is exponential, driving strong revenue growth and capacity investments.	We model strong near-term growth (60% year-1 revenue growth) but moderate terminal growth (2.5%) reflecting market maturation.	Aligned
Strategic importance of architecture choice	Choosing the right architecture directly affects earnings and revenue growth for hyperscalers.	We agree on architecture importance but factor in competitive innovation reducing NVIDIA's exclusive advantage over time.	More cautious

UPCOMING CATALYSTS

The dated events most likely to move the stock, the direction each points, and the figure it would move. These are when the thesis gets tested.

Event	Timing	Direction	Moves
Q1 FY2027 Earnings Release	Late May 2026	Two-sided	Revenue growth rate
Rubin GPU Ramp-up and Market Adoption Update	Mid-FY2027 (Q3 FY2027)	Positive	Data Center revenue growth
US Government Replacement Export Control Rule Announcement	Expected by Q4 FY2026 (Dec 2025 - Feb 2026)	Negative	Operating margin impact
Blackwell Ultra Platform Production and Supply Chain Status Update	Q2 FY2027 Quarterly Report (Aug 2026)	Two-sided	Inventory provisions and warranty costs
Gaming Segment Revenue Guidance for FY2027	Q1 FY2027 Earnings Call (May 2026)	Negative	Gaming revenue growth

WHAT TO WATCH

The metrics the valuation is most exposed to, with what our thesis expects each to do — so a reader can tell when reality diverges from our view.

Metric	Current	Trend	What we expect	Why it matters
Data Center Revenue Growth	+65% FY2026	Decelerating but still strong	Mid-20% to 30% growth in FY2027	Data Center revenue is the largest driver of total revenue growth and valuation; our model assumes continued strong but slowing growth
Operating Margin (Mature)	48.3% (our terminal assumption)	Stable to slight pressure due to supply chain and regulatory costs	Maintain ~48% terminal margin	Valuation is highly sensitive to operating margin; market implies unrealistic 80.6%
Revenue CAGR (10-year)	18.9% (our assumption) vs 24.6% implied by price	Recent years show very high growth but expected to normalize	Sustain ~19% CAGR over 10 years	Long-term revenue growth drives terminal value and fair price
Inventory Provisions and Warranty Costs	Elevated due to product transitions	Potentially volatile with new product ramps	Moderate provisions, no material increase	Higher provisions reduce operating margin and cash flow, impacting valuation
Gaming Revenue Growth	Pressure due to memory supply issues	Flat to slight decline expected in FY2027	Low single-digit decline or flat growth	Gaming is a significant segment; weakness here weighs on total revenue growth
Impact of US Export Controls on Product Sales	Uncertain, replacement rule pending	Potentially negative if restrictions tighten	Limited impact if managed well	Regulatory constraints could materially reduce addressable market and margins

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 145.52	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 300.00	3.0	58 analysts; median USD 300.00; mean USD 302.83; range USD 180–500

Blended fair value USD 261.38 (+19.2% vs price). Reconciled from USD 145.52 to USD 300.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 219.31. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 219.31	Gap
Revenue CAGR (10-year)	18.9%	24.6%	+5.7pp
Operating margin (mature)	48.3%	80.6%	+32.3pp
FCF margin (mature)	40.2%	—	—
Terminal growth	2.5%	5.9%	+3.4pp

Operating margin (mature). An operating margin almost no company has ever sustained.

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2027	345.5bn	60.0%	60.4%	146.1bn	130.4bn
FY2028	489.2bn	41.6%	59.0%	211.1bn	168.2bn
FY2029	631.5bn	29.1%	57.7%	275.9bn	196.4bn
FY2030	761.5bn	20.6%	56.4%	334.3bn	212.4bn
FY2031	874.2bn	14.8%	55.0%	382.7bn	217.1bn
FY2032	969.1bn	10.9%	53.7%	420.5bn	213.0bn
FY2033	1.0tn	8.2%	52.3%	448.6bn	202.8bn
FY2034	1.1tn	6.4%	51.0%	468.6bn	189.2bn
FY2035	1.2tn	5.1%	49.6%	482.3bn	173.8bn
FY2036	1.2tn	4.3%	48.3%	491.1bn	158.0bn

SEGMENT FORECAST: A BOTTOM-UP CROSS-CHECK

The headline DCF grows total revenue top-down. This forecasts each reportable segment on its own trajectory and sums them, as a check on that single blended number. The headline valuation is unchanged; this is the stress-test on its central assumption.

Segment	Revenue FY2026	Yr-1 growth	10y CAGR	Revenue FY2036
Compute & Networking	193.5bn	66.5%	21.9%	1.4tn
Graphics	22.5bn	57.0%	19.1%	129.2bn
Bottom-up total	215.9bn	-	21.6%	1.5tn

The reported segments sum to USD 215.9bn, within 0% of total revenue — a clean bottom-up build. Summed bottom-up, the segments imply a 22% total CAGR — 3pp above the 19% our top-down DCF assumes. That gap is where the growth debate on this name actually sits.

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	40.0%	36.3%	2.0%	13.5%	USD 66.48	-70%	25%
Base case	60.0%	48.3%	2.5%	12.0%	USD 145.52	-34%	50%
Bull case	75.0%	60.3%	3.0%	10.5%	USD 303.40	+38%	25%

Probability-weighted value USD 165.23 (-24.7% vs price). Range USD 66.48 to USD 303.40, a spread of 163% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 40%, the sustainable operating margin settles near 36%, and the market prices the added risk through a 13.5% discount rate. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 60% decaying toward 2.5%, a terminal margin of 48%, discounted at 12.0%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 75%, margins recover toward 60%, and an easing risk premium lowers the discount rate to 10.5%. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

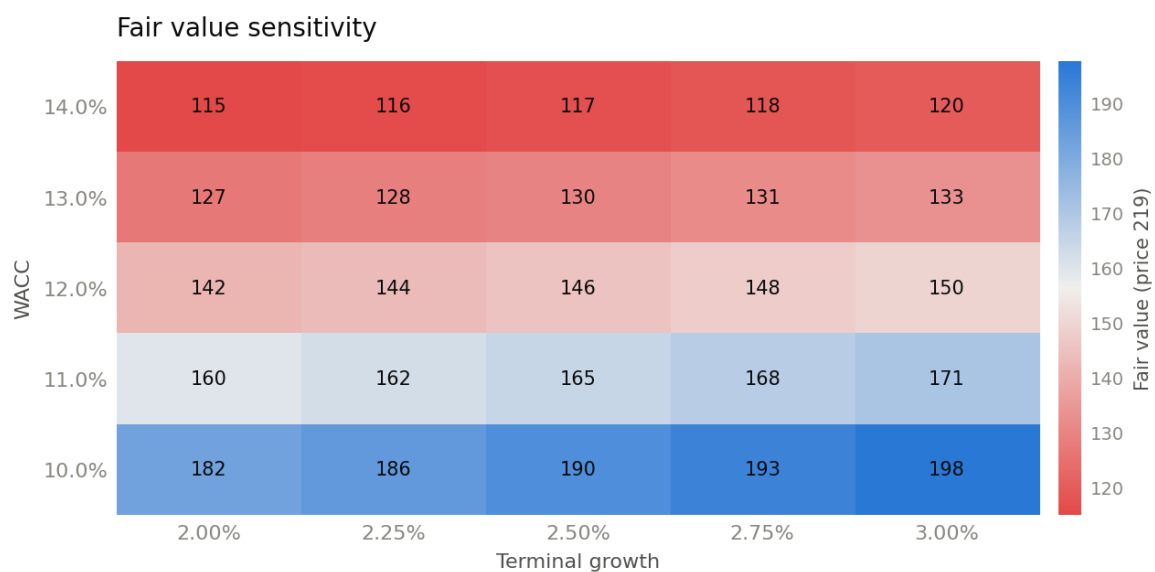
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.7%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US
Beta (Blume-adjusted)	1.81x	Live market data	Five-year raw beta 2.21, Blume-adjusted (0.67 x 2.21 + 0.33 x 1.00) = 1.81
Effective tax rate	13.5%	Derived from filings	Mean of tax expense / pre-tax income for FY2024-FY2026

Assumption	Value	Basis	Derivation
Beta (long-horizon)	1.61x	Derived from filings	0.75×1.81 (Blume) + 0.25×1.00 , the average beta over a 10-year horizon
Size premium	-1.5%	Standard default	Build-up size premium for a mega-cap (market cap USD 5,312bn)
Cost of equity	12.0%	Derived from filings	CAPM build-up: $4.66\% + 1.61 \times 5.50\% - 1.5\%$ size
Pre-tax cost of debt	6.2%	Standard default	Risk-free $4.66\% + 1.5\%$ investment-grade spread
WACC (discount rate)	12.0%	Derived from filings	$100\% \text{ equity} \times 12.02\% + 0\% \text{ debt} \times 6.16\% \times (1 - 13\%)$
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	60.0%	Model estimate (bounded)	Model estimate 60%, bounded to [33%, 65%] around normalised growth of 65%
Terminal operating margin	48.3%	Model estimate (bounded) (bounded)	Model estimate 48.0%, normalised down from today's 60.4%; kept within a maturity band of [48.3%, 62.4%] (floor 80% of current, set by steady margins; ceiling the demonstrated peak)
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	1.7%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.3%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	25.0%	Derived from filings	Median change in working capital over change in revenue across 3 year(s) with material revenue growth, capped at 25%

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Advanced Micro Devices, Inc. (AMD)	765.8bn	119.7x	81.8x	18.9x
Broadcom Inc. (AVGO)	1.7tn	60.7x	44.0x	24.6x
Intel Corporation (INTC)	495.4bn	-	31.1x	9.2x
QUALCOMM Incorporated (QCOM)	171.2bn	18.9x	14.6x	4.0x
Taiwan Semiconductor Manufacturing Company Limited (TSM)	2.1tn	31.0x	4.7x	3.3x

Implied value applies the peer median P/E of 45.9x to trailing EPS of 4.90.

MODEL NOTES AND LIMITATIONS

- A second-pass calibration review revised one or more forward assumptions (see the assumption rationales below); the fair value reflects the revised set.
- The analyst consensus (USD 300.00) sits 106% above our intrinsic DCF (USD 145.52). The blended value reconciles the two; read it as a triangulation, not a precise number.
- The bull-to-bear range spans 163% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Terminal operating margin was constrained to 48.3% (estimate was 48.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q12027 Quarterly Report (10-Q) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000052/nvda-20260426.htm>

Q12027 Earnings Release (8-K) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000051/q1fy27pr.htm>

Q12027 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2027/Q127/NVDA-F1Q27-Quarterly-Presentation-FINAL.pdf

Q42026 Earnings Release (8-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000019/q4fy26pr.htm>

Q42026 Quarterly Report

https://s201.q4cdn.com/141608511/files/doc_financials/2026/q4/NVDA-Q4-2026-Earnings-Call-25-February-2026-5_00-PM-ET.pdf

Q32026 Quarterly Report (10-Q) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000230/nvda-20251026.htm>

Q32026 Earnings Release (8-K) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000228/q3fy26pr.htm>

Q22026 Quarterly Report (10-Q) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000209/nvda-20250727.htm>

Q22026 Earnings Release (8-K) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000207/q2fy26pr.htm>

Q12026 Quarterly Report (10-Q) · filed 2025-05-28

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000116/nvda-20250427.htm>

FY2026 Annual Report (10-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm>

FY2026 Earnings Release

<https://fortune.com/company-assets/1936/quatr/earnings-release-8-k-73c0d-2026-02-25-09-17-32.pdf>

Q42025 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4/NVDA-F4Q25-Quarterly-Presentation-FINAL.pdf

FY2025 Annual Report (10-K) · filed 2025-02-26

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000023/nvda-20250126.htm>

FY2024 Annual Report (10-K) · filed 2024-02-21

<https://www.sec.gov/Archives/edgar/data/1045810/000104581024000029/nvda-20240128.htm>

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